Earnings update

Apple Q4 2026: price beats, memory caps the margin

3 November 2026 · Syz Research

> **"What we're seeing with memory pricing right now is unprecedented. … For the December quarter, we expect even higher memory costs, partly offset by a few factors."**
>
> John Ternus, CEO, fiscal Q4 2026 earnings call, 2 November 2026

Apple sells the iPhone, about half of revenue, plus Mac, iPad, wearables and services such as the App Store, across over 2.5bn active devices. Fiscal 2026 revenue USD 479bn; Nasdaq-listed, worth about USD 5tn.

Key takeaways

Beat Revenue USD 114.5bn (+1% vs. consensus) and EPS USD 2.10 (+5.5%), led by iPhone and Mac pricing.

Reaction Shares down over 4% pre-market on 3 November: a 45% to 46% margin guide undercut the beat.

Watch Services growth guided to 8% to 9%, from 10%, as licensing and App Store changes bite.

Valuation 35.2x forward earnings, near the highest since 2010: little room for further margin slippage.

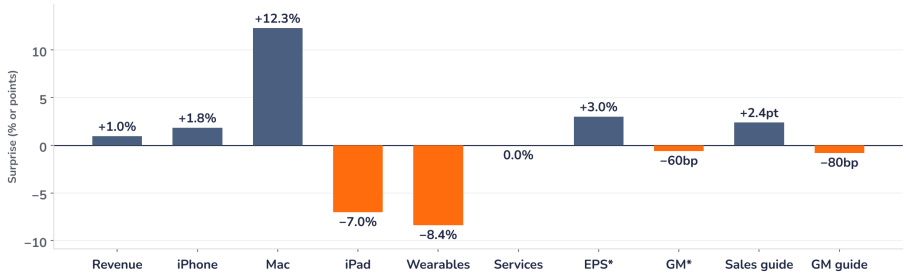
Q4 revenue	Q4 diluted EPS	Dec-quarter revenue guide	Dec-quarter margin guide
USD 114.5bn	**USD 2.10**	**+7–10% y/y**	**45–46%**
+1.0% vs. consensus	+5.5%, +3.0% ex refunds	+2.4pt vs. consensus	–80bp vs. consensus

Record iPhone cycle, costs outrunning price

Revenue beat consensus by 1% and EPS by 5.5%, yet the shares fell 3.5% after hours and more than 4% pre-market on 3 November. The beat leaned on price rises; the December-quarter margin guide of 45% to 46% is 80bp below consensus. Apple is short of supply, not demand. The question is how much memory inflation pricing can absorb.

Chart 1 · AAPL: Q4 2026 results and December-quarter guide vs. consensus

Surprise vs. LSEG consensus of 2 November 2026 · sales and EPS in %, margins and growth guide in points · *ex tariff refunds · guides at midpoint



Hardware carried the quarter: Mac beat by 12% and iPhone by 2%, both supply-constrained after price increases. iPad and wearables missed by 7% and 8% on tough comparisons. Ex tariff refunds, EPS beat by 3% and gross margin fell about 60bp short. The guide splits the same way: sales above consensus, margin below.

Base case and implications

Apple's hardware cycle is its strongest since fiscal 2021, with revenue up 15% and EPS up 20% to USD 8.98, but its pricing power now pays for memory rather than lifting margin. Demand has held through the price rises. Consensus forward EPS of USD 9.58 implies only 7% growth, which we see as achievable with gross margin at 45% to 46%. At 35.2x, that delivery is priced and the risk/reward is balanced. iPhone Duo supply is the catalyst; the next test is the December-quarter margin in early 2027.

What would strengthen our view

December-quarter gross margin at or above 46%; iPhone Duo supply in balance with demand by spring 2027; Services back to 10% growth as Siri AI lifts paid subscriptions and iCloud+.

What would change our view

A March-quarter margin guide below 45%; unit declines once the September iPhone price rise works through; further App Store rulings taking Services growth below 8%.

Beyond the key takeaways

Results: price and the Mac did the work

Revenue rose 12% to USD 114.5bn, above the 9% to 11% guide, despite nearly 2 points of sequential currency headwind. iPhone grew 17% to USD 57.6bn, a September-quarter record, with record upgraders in the US, mainland China and India; Mac grew 24% to USD 10.8bn on MacBook Neo and MacBook Pro. Both were supply-constrained, mainly by advanced-node chip availability. iPad fell 10% and wearables 8% against launches a year ago. Services rose 10% to USD 31.6bn, in line, with paid subscriptions above 1.5bn. Operating expenses rose 21% on research spending, so operating income grew 10%, and buybacks lifted EPS growth to 14%.

The beat and the share price fall, 3.5% after hours on 2 November and more than 4% pre-market on 3 November, diverge, and the confirmed drivers sit in the margin line. Ex the 1-point tariff refund, gross margin was about 46.9%, 60bp below consensus, and EPS beat by 3% rather than 5.5%. Management guided the December-quarter margin to 45% to 46% against 46.3% expected, said memory prices keep rising beyond December and disclosed USD 33bn more purchase obligations since June. We think positioning added to the move: the shares had risen 25% in twelve months against 16% for forward earnings.

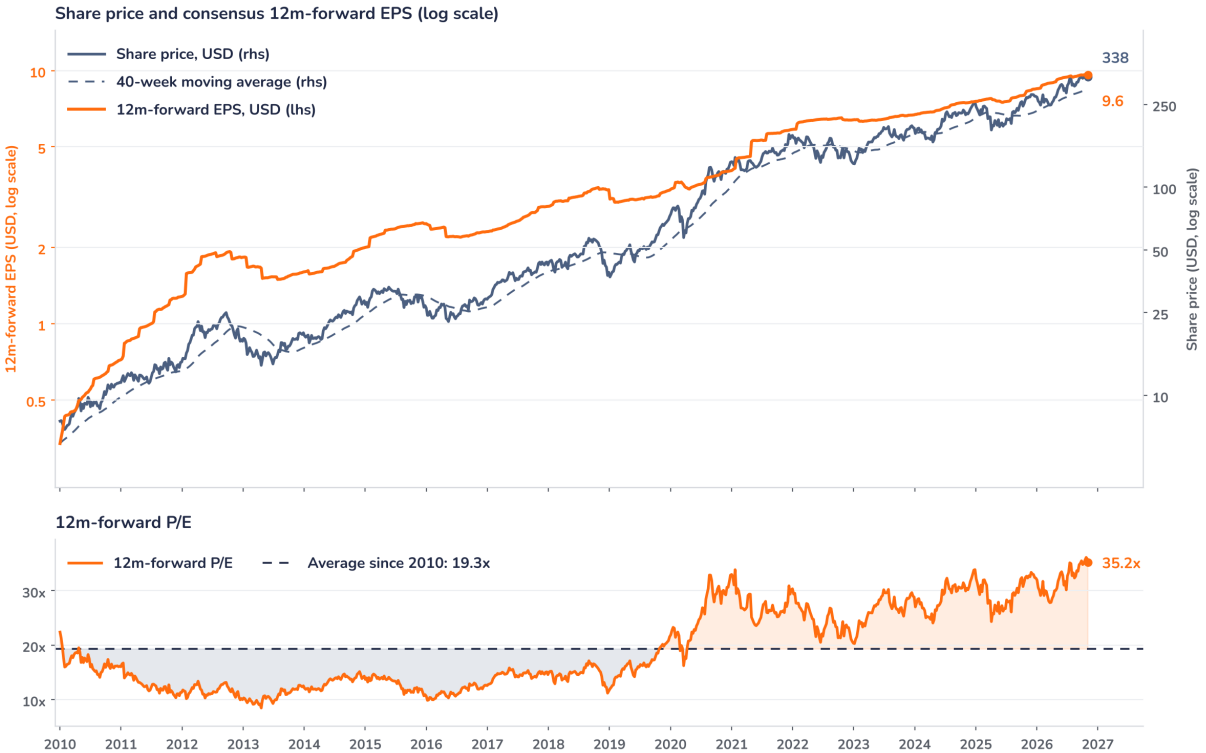
Outlook: record sales, thinner margin

Apple guides December-quarter revenue up 7% to 10%, on top of 16% growth a year ago and against 6.1% expected: the midpoint implies about USD 156bn, which management expects to be the best quarter in its history. The guide reflects constrained supply: iPhone Duo is short of demand, and Mac and iPad are now limited by memory. Services should grow 8% to 9%, slowed by third-party licensing, App Store changes and currency. Gross margin of 45% to 46% compares with 48.2% a year ago, with most of the decline from memory plus Siri AI ramp costs. Management says it is too early to read price elasticity.

Valuation: a peak multiple on slower growth

Chart 2 · AAPL: share price vs. consensus earnings and valuation

Weekly, January 2010 to 2 November 2026 · Bloomberg BEst 12m-forward EPS · 40-week simple MA · log scale · P/E vs. its 2010 to 2026 average · last price: 2 November close, pre-release



The shares have run ahead of earnings: up 25% over twelve months against 16% for consensus forward EPS. The 12-month forward P/E of 35.2x is 83% above its 19.3x average since 2010, close to the 36.1x peak of 23 October and above the one-year average of 32.1x. The price sits 13% above its 40-week average of USD 301. Consensus EPS slipped 0.4% to USD 9.58 on 3 November; a further 5% cut at an unchanged price would take the multiple to 37x. A return to the one-year average needs a 10% upgrade, which the margin guide does not support.

SYZ Source: Syz Research, Bloomberg, LSEG consensus, company filings, Apple fiscal Q4 2026 results release and earnings call of 2 November 2026, analyst research notes of 3 November 2026

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